OPEN LETTER · EYE ON SHOALHAVEN COUNCIL

Steve Prothero asks Shoalhaven Council about advance grant payments and deficits

Sent 23 June 2026 · To Andrew Constance · Response requested by 4 July 2026

23 June 2026

Andrew Constance
Chief Executive Officer
Shoalhaven City Council

36 Bridge Road, Nowra NSW 2541
By email: ceo@shoalhaven.nsw.gov.au

Subject: Advance Financial Assistance Grants — Public Disclosure and OLG Circular Compliance

Dear Mr Constance,

I write in the knowledge that correspondence from this publication has, in recent months, been declined on the basis of guidance relating to unreasonable conduct.

I note, for the record, that the application of that guidance to a public interest publication with more than 3,800 local readers is itself a matter currently before the NSW Ombudsman.

The questions in this letter are not personal complaints.

They are questions of public administration, put openly, on behalf of a readership that represents approximately 5.1 per cent of Shoalhaven's registered voters. They are questions any member of the public could put at an ordinary council meeting. I put them here, in writing, on the public record — and will publish whatever response is received, including none.

This letter concerns the NSW Office of Local Government's June 2026 circular regarding advance payments of the Financial Assistance Grant, and the implications of that circular for Shoalhaven City Council's public reporting of its financial position.

Background

The OLG circular, issued this month, notes that the Commonwealth has again paid approximately 80 per cent of next year's Financial Assistance Grant in advance, before the end of the current financial year. The circular warns councils explicitly that they should not depend on these advance payments to balance their financial statements.

Shoalhaven City Council's own financial statements disclose advance Financial Assistance Grant payments across at least three consecutive financial years:

• 2022–23: $14.881 million received in advance (confirmed in Note B2-4 of the 2023–24 Annual Financial Statements) • 2023–24: $13.127 million received in advance (Note B2-4, 2023–24 Annual Financial Statements) • 2024–25: $8.1 million received in advance (2024–25 Annual Financial Statements)

In 2024–25, council's reported net operating result before capital grants and contributions was a deficit of approximately $1.24 million. Removing the $8.1 million advance payment, the underlying result was approximately negative $9.36 million — a difference of $8.1 million, or 653 per cent.

In the same period, public messaging from the council majority has described council's financial results in terms including a "phenomenal turnaround" (CEO's media release, 23 April 2026), a prediction that the deficit would be "next to nil" by the end of 2025–26 (Mayor White), and a statement that council's financial position "continues to strengthen" (Q3 Performance Board Paper CL26.101, May 2026).

None of those communications disclosed the role of advance Financial Assistance Grant payments in producing or supporting the reported results.

Questions

I ask the following questions on the public record and request written responses by close of business on Friday 4 July 2026.

1. The OLG circular warns that councils should not depend on advance Financial Assistance Grant payments to balance their financial statements. Does council consider that its reported financial results in 2022–23, 2023–24 and 2024–25 were materially dependent on advance FAG payments? If not, what is the basis for that assessment.
2. In 2024–25, the advance FAG payment of $8.1 million represented the difference between a reported deficit of $1.24 million and an underlying deficit of approximately $9.36 million. Has the council's Responsible Accounting Officer or the CEO assessed whether the council's financial position, as reported to the community, adequately disclosed the significance of this advance payment?
3. Your media release of 23 April 2026 described the draft 2026–27 budget result as a "phenomenal turnaround." The Mayor has stated publicly that the General Fund deficit will be "next to nil" by the end of 2025–26. The Q3 performance report stated that council's financial position "continues to strengthen." In light of the OLG circular, do you consider those characterisations to have given ratepayers an accurate picture of council's underlying financial position? If so, why?
4. What steps, if any, will council take to comply with the spirit of the OLG circular in its forthcoming public reporting — specifically, will the 2024–25 Annual Report and the 2025–26 Annual Report separately disclose the operating result with and without

advance FAG payments, so that the community can understand the council's underlying financial position?

5. The OLG circular notes that advance FAG payments are a Commonwealth budget decision that could be reduced, delayed, or discontinued. Has council's Long-Term Financial Plan modelled a scenario in which the Commonwealth ceases or materially reduces advance FAG payments? If so, what does that scenario show for council's projected operating position over the next four years?
6. The 2026–27 draft budget improvement is driven substantially by one-off items:

- MRF commencement ($3.3 million),
- expanded land sales ($1.8 million),
- market-dependent interest income ($2.0 million), and the release of $12.851 million in internal reserves.
- Can you identify what improvement, if any, results from structural changes to ongoing income and expenditure that will recur in 2027–28 and beyond?

Publication

This letter is published openly. Responses will be published in full. Non-response will also be published, and will form part of the reporting on this matter.

I am happy to discuss any of these questions by telephone or by return correspondence. Contact details are available on the publication's website.

Yours sincerely,
Steve Prothero
Publisher, Eye on Shoalhaven Council
eyeonshoalhaven.substack.com
